AY 2026 / 2027 SEMESTER 1

Apple Inc

Valuation Report

Group 9

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All prices and per-share values are stated in USD

Executive Summary

Apple Inc | NASDAQ AAPL

HOLD

Market $332.89 | Intrinsic $233.49 | Relative $336.59–$364.24

Investment Thesis

We recommend HOLD. Apple's integrated ecosystem, pricing power and expanding Services business underpin strong earnings and cash generation. However, the market price of $332.89 at the 5 October 2026 close (Stock Analysis, n.d.-f) embeds more demanding long-run assumptions than our base case. Intrinsic valuation indicates overvaluation, while historical-premium-adjusted relative valuations both exceed the market price. Near-term forecasts remain close to consensus and we identify no clear catalyst to sell.

The central investment question is the price paid for this business quality. Without Apple's historical premium, relative values fall to $231.38–$238.25 per share, close to intrinsic value. The mean analyst target of $324.89 is only 2.40% below the market price. These cross-checks support a measured HOLD rather than a stronger directional call.

Key Financials

Forecast period	Net sales ($bn)	Net income ($bn)	Diluted EPS ($)
FY2026 Q4	113.16	29.10	1.99
FY2026 full year	477.52	130.57	8.87
FY2027 full year	517.44	145.36	10.07
FY2032 full year	688.98	212.77	16.31

Business Quality and Near Term Outlook

Apple's hardware, software and services reinforce customer loyalty and switching costs. In FY2025, Services generated 26% of sales but 42% of gross margin, with a 75.4% segment gross margin. ROE of 151.91% reflects strong operating performance and a small book-equity base following buybacks; DuPont analysis shows a 26.98% NOPAT margin and 10.41x net operating asset turnover. Our Q4 FY2026 revenue forecast of $113.16 billion implies 10.4% growth, within management's 9%–11% guidance. Forecast EPS of $1.99 closely matches consensus of $1.98.

Valuation and Recommendation

Revenue increases from $517.44 billion in FY2027 to $688.98 billion in FY2032 as growth moderates and Services gains share. At an 8% cost of equity and 3% perpetual growth, both FTE and residual income imply $233.49 per share. Forward P/E and EV/EBIT, adjusted for Apple's historical premiums, imply $364.24 and $336.59. Terminal value represents 78.4% of intrinsic equity value; the market price requires 4.76% perpetual growth or a 6.55% cost of equity. Given this sensitivity and consensus-aligned earnings, we retain HOLD.

Key Risks and Information Sources

Key risks include regulation of the closed ecosystem, concentrated manufacturing and tariff exposure, AI competition, and product-margin execution. Sources include Apple filings and earnings disclosures, LSEG Workspace, Morningstar, Federal Reserve and FRED data, Damodaran, Yahoo Finance and the earnings-call transcript. Full references follow the report. Calculations are in BMT5102_G9_Apple_Valuation.xlsx, with valuation and market comparisons in worksheets K and L.

Task 1: Understanding the Business

1.1 Apple's Business Strategy

Apple's business strategy centers on building a closed, premium ecosystem where hardware, software and services are designed to work together. Instead of competing on price, the company leans into differentiation: it states that its ability to compete "depends heavily on ensuring the continuing and timely introduction of innovative new products, services and technologies," even while acknowledging that it holds only a minority share of the global smartphone, PC, tablet and wearables markets (Apple Inc., 2025). In FY2025, 40% of net sales came through Apple's own direct channels (retail and online stores) versus 60% through indirect channels such as carriers and resellers (Apple Inc., 2025), which shows that Apple prioritizes control over the customer experience. The more tightly a user's devices, data and subscriptions are woven together, the harder it becomes to leave, and that stickiness is what ultimately protects Apple's pricing power.

1.2 Key Success Factors

Ecosystem Integration and Customer Lock-In

The clearest driver of this strategy is how seamlessly Apple's products work with one another, through iCloud syncing, Handoff between devices, and a shared design language across iOS and macOS. Once a household owns two or three Apple devices, switching to a competing platform means giving up that convenience. This advantage is sustainable in the near term, provided Apple keeps improving integration faster than regulators or rivals can erode it.

Growth of High-Margin Services Revenue

Beyond hardware, Apple's Services segment, including the App Store, subscriptions, Apple Pay and AppleCare, has become an important second pillar of the strategy. In FY2025, Services generated only 26% of total net sales ($109.2 billion of $416.2 billion), yet it contributed 42% of total gross margin ($82.3 billion of $195.2 billion), with a gross margin percentage of 75.4% compared with 36.8% for Products. This contribution has also risen steadily, from 36% of total gross margin in FY2023 to 39% in FY2024 and 42% in FY2025, as Services net sales grew 14% in FY2025 against roughly 4% for Products (Apple Inc., 2025). Each subscription makes the ecosystem harder to leave and gives Apple a more predictable income stream to fund R&D. We see this as the most sustainable part of the strategy, because the rising share of gross margin makes Apple's profitability less dependent on hardware upgrade cycles.

Proprietary Chip and Software Co-Design

Apple's decision to design its own silicon, tightly matched to its own operating systems, is what makes the "integration" idea more than a slogan, and it is expensive and slow for competitors to copy. This strength is durable, but owning the chip design is not the same as owning its manufacturing, which is where some of the risks below arise.

2 Key Risks Associated with Apple's Business Strategy

Regulatory pressure on the closed ecosystem. The same closed-ecosystem model that creates lock-in is also what regulators are now targeting. Apple's FY2025 10-K discloses that the EU's Digital Markets Act has already forced changes to iOS, the App Store and Safari, and that the company faces U.S. antitrust litigation alleging monopolization in the "performance smartphones" and "smartphones" markets (Apple Inc., 2025). If regulators keep pushing Apple toward greater interoperability with rival platforms, the switching costs that hold the ecosystem together could weaken over time, which strikes at the heart of the strategy.

Supply chain concentration and tariff exposure. Apple designs its chips in-house, but it still relies heavily on outsourced manufacturers concentrated in Asia, such as Foxconn and TSMC. The 10-K notes that new U.S. tariffs took effect from the second quarter of FY2025 on imports from China, India, Japan, South Korea, Taiwan, Vietnam and the EU (Apple Inc., 2025). Apple therefore controls the design side of its strategy but not the manufacturing side, which exposes it to geopolitical and cost risk.

Competitive and technological disruption from AI. Apple openly acknowledges in its filings that it competes in fast-moving markets where it does not hold the largest market share, and that developers tend to favor whichever platform has the bigger installed base (Apple Inc., 2025). If competitors pull ahead on AI-driven features, users may start to value that capability more than ecosystem familiarity, and developers could shift their attention elsewhere. This would weaken both ecosystem stickiness and Services growth at once, which is why we see it as the least predictable of the three risks.

3 Return on Common Shareholders' Equity (ROE) for FY2025

Answer to Q3: Apple's FY2025 ROE is 151.91%, net income of $112,010 million divided by ending common equity of $73,733 million (worksheet M ROE and Ratios, section 1).

According to the question, Apple's ROE for fiscal 2025 can be calculated by dividing net income attributable to common stockholders by the ending common stockholders' equity balance. Apple's fiscal 2025 ends on 27 September 2025. Apple reported net income of $112,010 million for fiscal 2025, according to its consolidated statements of operations. The consolidated balance sheet shows that as of 27 September 2025, total stockholders' equity was $73,733 million, including $93,568 million of common stock and additional paid-in capital, with an accumulated deficit of $14,264 million and accumulated other comprehensive losses of $5,571 million. Because Apple does not report preferred stockholders' equity, total stockholders' equity is treated as common stockholders' equity for the purposes of this analysis.

ROE = NI / Ending Common Equity = 112,010 / 73,733 = 151.91%

As a result, Apple's ROE in fiscal 2025 is approximately 151.91%. This unusually high ROE reflects both Apple's strong earnings and its relatively small equity book value. In particular, Apple's capital return policy has significantly reduced its book equity basis over time. During fiscal 2025, the company repurchased approximately $89.3 billion of its common stock and paid approximately $15.4 billion in dividends and dividend equivalents (Apple Inc., 2025). Therefore, the ROE of 151.91% should not be understood as a return on the market value of shareholders' investment; rather, it represents the return generated relative to Apple's relatively small book value of common stock.

4 Advanced DuPont Model

Answer to Q4: ROE of 151.91% equals RNOA of 280.95% plus FLEV of -45.79% times a spread of 281.79%, so Apple's ROE is driven by operating profitability rather than financial leverage (worksheet M ROE and Ratios, sections 2 to 5).

To gain a clearer understanding of where ROE comes from, the advanced DuPont model separates shareholder returns into operating profitability and financing effects. The basic relationship is ROE = RNOA + FLEV * Spread, where RNOA is the return on net operating assets, FLEV is financial leverage, and Spread is the difference between RNOA and net borrowing costs.

To apply the model, Apple's balance sheet is separated into operating and financial activities. On 27 September 2025, Apple reported total assets of $359,241 million. Cash and cash equivalents of $35,934 million and marketable securities of $96,486 million are classified as financial assets, giving total financial assets of $132,420 million and operating assets of $226,821 million. Financial obligations consist of $7,979 million of commercial paper and $90,678 million of term debt, totaling $98,657 million. Accordingly, operating liabilities are $186,851 million, resulting in net operating assets (NOA) of $39,970 million and net financial obligation (NFO) of -$33,763 million. The negative NFO indicates that Apple held more financial assets than interest-bearing financial obligations at year-end.

Apple reported operating income of $133,050 million and an effective tax rate of 15.6% in FY2025. Estimated NOPAT is therefore: 133,050 * (1-15.6%) = 112,294

Using the required year-end balance sheet values: RNOA = 112,294 / 39,970 = **280.95%**

And: FLEV = -33,763 / 73,733 = **-45.79%**. The negative FLEV demonstrates that Apple is not using positive net debt leverage in the conventional sense. Instead, its financial assets exceed its interest-bearing obligations.

Estimated NOPAT is $112,294 million and reported net income is $112,010 million, producing implied net financial expense after tax of approximately $284 million. Dividing this amount by NFO gives an implied net borrowing cost of approximately -0.84%. Because NFO itself is negative, this figure should be interpreted carefully: Apple is economically a net financial asset holder rather than a net borrower. Spread is 280.95% - (-0.84%) = **281.79%**

The complete advanced DuPont decomposition therefore becomes: ROE = 280.95% + (-45.79%*281.79%) = 151.91%

Table 4.1 breaks RNOA into its margin and turnover drivers (worksheet M ROE and Ratios, sections 4 and 5). On the margin side, the 75.4% Services gross margin lifts the overall gross margin to 46.9%, and R&D (8.3% of sales) and SG&A (6.6%) absorb only 14.9% of sales, leaving an operating margin of 31.97% and a NOPAT margin of 26.98%. On the turnover side, inventory turns 38.64 times a year and receivables 10.46 times (about 35 days), while payables turn only 3.16 times (about 115 days), so suppliers finance much of Apple's working capital. Operating liabilities equal 82.4% of operating assets, which leaves NOA of only $39,970 million and a NOA turnover of 10.41x.

Overall, the advanced DuPont analysis shows that Apple's ROE of 151.91% is primarily due to exceptionally strong operating results. Its RNOA of 280.95% is derived from a combination of 26.98% NOPAT margin and 10.41x NOA

turnover, while FLEV of -45.79% reflects Apple's net financial asset position rather than its reliance on positive net debt leverage.

Table 4.1 FY2025 Margin and Turnover Analysis

Margin	FY2025	Turnover (year-end balances)	FY2025
Gross margin	46.9%	NOA turnover	10.41x
Products gross margin	36.8%	Accounts receivable turnover	10.46x
Services gross margin	75.4%	Inventory turnover	38.64x
R&D / net sales	8.3%	Accounts payable turnover	3.16x
SG&A / net sales	6.6%	PP&E turnover	8.35x
Operating margin	31.97%	Total asset turnover	1.16x
NOPAT margin	26.98%	Operating liabilities / operating assets	82.4%

Task 2: Forecasting the Future

5a Forecast of FY2026 Q4 Income Statement and Balance Sheet

Answer to Q5a: We forecast FY2026 Q4 net sales of $113.16 billion, net income of $29.10 billion and diluted EPS of $1.99, with a balanced Q4 balance sheet of $395,361 million in total assets (worksheets A1 Income Statement, A2 Q4 Drivers and B Balance Sheet).

5a.1 Income Statement and EPS Forecast

Apple's FY2026 Q4 net sales were forecast using a bottom-up approach based on FY2025 Q4 actual revenue by product category and the latest FY2026 information. The model assumes year-on-year growth of 14% for iPhone, 6% for Mac, -2% for iPad, 0% for Wearables, Home and Accessories, and 12% for Services. The iPhone assumption reflects the lower end of management's mid-teens outlook. The assumptions for Mac, iPad and Wearables reflect recent category performance and the expected effect of supply constraints. The Services assumption maintains the 12% growth reported in FY2026 Q3. However, it is relatively optimistic because management expected an additional foreign-exchange headwind in Q4. At the consolidated level, the resulting net sales growth of 10.4% remains within management's guidance of 9%-11% (Apple Inc., 2026b; Motley Fool Transcribing, 2026). This produces forecast Products revenue of $80.96 billion, Services revenue of $32.20 billion and total net sales of $113.16 billion.

The profitability forecast is anchored to management guidance and the latest reported margins. Total gross margin is assumed to be 47.5%, the midpoint of the guided range of 47%-48%. Services gross margin is maintained at 75.5%, close to the FY2026 Q3 actual margin of 75.6%, while the Products margin of 36.4% is implied by the consolidated forecast. Operating expenses are forecast at $19.25 billion, the midpoint of management's $19.1-$19.4 billion range. Other income is forecast at $350 million and the effective tax rate at 16.5%, consistent with management's outlook (Apple Inc., 2026b; Motley Fool Transcribing, 2026). These assumptions result in operating income of $34.50 billion and net income of $29.10 billion. The resulting FY2026 Q4 forecast is summarized in Table 5.1.

Table 5.1 FY2026 Q4 Income Statement Forecast

Item	FY2025 Q4 Actual	FY2026 Q4 Forecast	YoY Change
Net sales ($bn)	102.47	113.16	10.4%
Gross margin	47.2%	47.5%	0.3 ppt
Operating income ($bn)	32.43	34.50	6.4%
Net income ($bn)	27.47	29.10	6.0%
Diluted EPS ($)	1.85	1.99	7.4%

Using forecast diluted weighted-average shares of 14.65 billion, diluted EPS is estimated at $1.99. Compared with FY2025 Q4, net sales, net income and diluted EPS increase by approximately 10.4%, 6.0% and 7.4%, respectively. EPS growth is lower than sales growth because operating expenses increase faster than revenue, reducing the operating margin from 31.6% to 30.5%. The lower diluted share count partially offsets this margin pressure (detailed calculations are in the attached Excel file BMT5102_G9_Apple_Valuation.xlsx).

5a.2 Balance Sheet Forecast

The FY2026 Q4 forecast comprises total assets of $395,361 million, total liabilities of $288,366 million and shareholders' equity of $106,995 million (Table 5.2).

Table 5.2 FY2026 Q4 Balance Sheet Forecast ($ million)

Balance sheet item	FY2026 Q3 Actual	FY2026 Q4 Forecast	Change
Cash and cash equivalents	39,544	29,229	-10,315
Current marketable securities	22,855	22,855	0
Accounts receivable, net	31,398	43,930	12,532
Vendor non-trade receivables	27,509	36,421	8,912
Inventories	11,092	12,059	967
Other current assets	17,420	17,420	0
Total current assets	149,818	161,913	12,095
Non-current marketable securities	84,118	84,118	0
Property, plant and equipment, net	51,431	51,431	0
Non-current intangible assets, net	20,342	20,342	0
Other non-current assets	77,557	77,557	0
Total non-current assets	233,448	233,448	0
Total assets	383,266	395,361	12,095
Accounts payable	64,525	76,683	12,158
Other current liabilities	62,259	62,259	0
Deferred revenue	9,538	10,000	462
Commercial paper	1,997	1,997	0
Current term debt	11,007	11,007	0
Total current liabilities	149,326	161,946	12,620
Long-term debt	71,340	71,340	0
Other non-current liabilities	55,080	55,080	0
Total non-current liabilities	126,420	126,420	0
Total liabilities	275,746	288,366	12,620
Common stock and additional paid-in capital	100,702	101,897	1,195
Retained earnings / accumulated deficit	11,326	9,606	-1,720
Accumulated other comprehensive loss	-4,508	-4,508	0
Total shareholders’ equity	107,520	106,995	-525
Total liabilities and shareholders’ equity	383,266	395,361	12,095
Balance sheet difference	0	0	0

5b Reality Check

Answer to Q5b: Our EPS of $1.99 is $0.01 above the $1.98 consensus and $0.04 to $0.06 below the two selected analysts, so our forecast is in line with the market (worksheet A2 Q4 Drivers, rows 28 to 33).

Table 5.3 compares our FY2026 Q4 EPS forecast with two selected analyst estimates reported in Refinitiv Workspace (LSEG, 2026a) and with the I/B/E/S consensus mean of $1.98 from 25 analysts, whose estimates range from $1.93 to $2.07 (LSEG, 2026b, p. 4).

Table 5.3 FY2026 Q4 EPS Forecast Comparison

Forecast source	Forecast EPS ($)
Group forecast	1.99
Rob Chang, KGI Greater China	2.03
Brian J. White, Monness, Crespi, Hardt & Co.	2.05
Market consensus	1.98

Our estimated EPS of $1.99 is closely aligned with external market expectations, sitting only $0.01 above the market consensus of $1.98 and modestly below the two selected sell-side forecasts of $2.03 and $2.05. This provides a useful reality check that the overall output of our forecasting model is within a reasonable market range.

Our forecast also lies well inside the $1.93 to $2.07 range of all 25 estimates. The small gap to the two selected analysts is consistent with a higher gross margin assumption: if Q4 gross margin were at the 48% top of guidance rather than our 47.5% midpoint, our EPS would rise by about $0.03 to $2.02, close to their forecasts.

Task 3: Valuation

Answer to Q6: FY2026 net sales are $477.52 billion and diluted EPS $8.87; by FY2032 net sales reach $688.98 billion and EPS $16.31, while debt to equity falls from 0.79 to 0.34 (worksheets C2 Annual IS Forecast, D IS Assumptions, F BS Assumptions, G Annual BS Forecast and M ROE and Ratios, section 6).

6a FY2026 Annual Financials

6a.1 Income Statement

Apple's FY2026 annual income statement combines the actual results for Q1-Q3 (Apple Inc., 2026a) with the group's Q4 forecast. This produces forecast Products revenue of $353.59 billion and Services revenue of $123.93 billion, resulting in total net sales of $477.52 billion. Gross margin is estimated at 48.7%, while net income and diluted EPS are forecast at $130.57 billion and $8.87, respectively. Using the actual year-to-date results rather than annualizing a single quarter provides a more reliable base for the FY2027-FY2032 forecasts.

6a.2 Balance Sheet

A balance sheet is a point-in-time statement. Therefore the FY2026 annual closing balance sheet equals the forecast FY2026 Q4 ending balance sheet; Q1-Q3 asset and liability balances are not added to it. Compared with the FY2025 year end, total assets rise from $359,241 million to $395,361 million, mainly through higher marketable securities, receivables, inventory and intangible assets, while cash falls from $35,934 million to $29,229 million as share repurchases and debt repayment absorb cash. Interest-bearing debt falls from $98,657 million to $84,344 million and, because net income exceeds repurchases and dividends, shareholders' equity rises from $73,733 million to $106,995 million, so debt to equity drops from 1.34 to 0.79 (worksheets B Balance Sheet and M ROE and Ratios, sections 2 and 6). The FY2026 closing position becomes the opening base for the next six annual forecasts.

6b FY2027-FY2032 Forecasts and Value Drivers

6b.1 Income Statement and Revenue Drivers

The revenue forecast is constructed separately for Apple's principal product categories and Services. Total net sales are forecast to increase from $517.44 billion in FY2027 to $688.98 billion in FY2032, while annual growth gradually moderates from 8.4% to 4.7%. This reflects the assumed normalization of Apple's hardware businesses as their revenue bases mature. Services remains the fastest-growing segment, although its growth rate declines from 12% to 7% as the revenue base expands. These assumptions produce a gradual transition toward a more mature growth profile rather than an abrupt change in performance. The revenue assumptions are calibrated against Apple's recent product and Services performance and represent the group's base-case estimates rather than management guidance (Apple Inc., 2025; Apple Inc., 2026a).

Product gross margin is assumed to increase gradually from 39.4% to 40.4%, while Services gross margin remains broadly stable at approximately 76%. The growing contribution from Services therefore raises the consolidated gross margin from 49.2% to 51.6%. R&D expenditure remains above 9% of sales to reflect continued investment in products and artificial intelligence, while SG&A declines from 6.2% to 5.7% of sales as the model assumes modest operating scale benefits. Other income is maintained at approximately 0.2% of sales, the effective tax rate at 16.5%, and diluted shares are reduced by 2% annually to reflect continued share repurchases. These margin and expense assumptions are calibrated against Apple's FY2025 results and FY2026 Q3 performance (Apple Inc., 2025; Apple Inc., 2026a). Under these assumptions, diluted EPS increases from $10.07 in FY2027 to $16.31 in FY2032 (see BMT5102_G9_Apple_Valuation.xlsx).

6b.2 Balance Sheet, Turnover and Leverage Drivers

The FY2026 closing balance sheet serves as the base for the FY2027-FY2032 forecasts. Receivables, inventory and payables are projected using FY2026 turnover ratios, while other major assets scale with sales. Under these assumptions, total assets increase from $395.4 billion to $566.5 billion, while debt repayment and equity growth reduce interest-bearing debt to equity from 0.79 to 0.34. Tables 6.1 and 6.2 summarize the forecast balances, and Table 6.3 reports the forecast turnover and leverage ratios on year-end balances (worksheet M ROE and Ratios, section 6).

Table 6.1 FY2026-FY2032 Balance Sheet Summary ($ million)

Fiscal year	Current assets	Non-current assets	Total assets	Total liabilities	Equity
2026	161,913	233,448	395,361	288,366	106,995
2027	174,887	252,962	427,849	302,002	125,846
2028	186,998	271,300	458,298	314,613	143,685
2029	198,428	288,752	487,179	326,419	160,761
2030	209,416	305,612	515,028	337,728	177,300
2031	219,920	321,788	541,708	348,493	193,215
2032	229,675	336,826	566,501	358,396	208,105

Table 6.2 FY2026-FY2032 Selected Balance Sheet Accounts ($ million)

Year	Cash	Receivables	Inventory	Payables	Long-term debt	Retained earnings
2026	29,229	43,930	12,059	76,683	71,340	9,606
2027	31,672	47,602	12,927	82,205	69,200	28,457
2028	33,968	51,053	13,723	87,267	67,124	46,296
2029	36,153	54,337	14,457	91,934	65,110	63,372
2030	38,264	57,510	15,153	96,357	63,157	79,911
2031	40,290	60,554	15,810	100,537	61,262	95,826
2032	42,172	63,384	16,419	104,411	59,424	110,716

Table 6.3 Forecast Turnover and Leverage Ratios on Year-End Balances, FY2026-FY2032

Ratio	2026	2027	2028	2029	2030	2031	2032
A/R turnover	10.87x	10.87x	10.87x	10.87x	10.87x	10.87x	10.87x
Inventory turnover	20.32x	20.32x	20.32x	20.32x	20.32x	20.32x	20.32x
A/P turnover	3.19x	3.19x	3.19x	3.19x	3.19x	3.19x	3.19x
NOA turnover	8.66x	8.61x	8.57x	8.53x	8.49x	8.45x	8.42x
RNOA (ending NOA)	235.3%	240.5%	244.4%	248.3%	252.0%	255.4%	258.6%
Interest-bearing debt / equity	0.79	0.65	0.55	0.48	0.42	0.37	0.34
FLEV (NFO / equity)	-48.5%	-52.3%	-54.9%	-56.9%	-58.5%	-59.7%	-60.7%

Because receivables, inventory and payables keep their FY2026 turnover, NOA turnover eases only slightly, from 8.66x to 8.42x, as other operating assets grow with sales. RNOA rises from 235.3% to 258.6% as margins widen. Leverage falls: debt repayment cuts interest-bearing debt to equity from 0.79 to 0.34, while growing cash and securities make FLEV more negative, from -48.5% to -60.7%.

6b.3 Forecast Assumptions

Receivables, inventory, payables and deferred revenue are forecast using FY2026 turnover ratios, while cash, marketable securities, PP&E, intangible assets and other operating balances maintain their FY2026 ratios to sales.

Commercial paper and term debt decline by 3% annually, while dividends grow by 3%. Common stock and additional paid-in capital and accumulated other comprehensive loss are held constant at their FY2026 closing balances. Share repurchases absorb residual cash while maintaining the target cash-to-sales ratio.

7 Value per Share of Stock

Answer to Q7: The discounted flow to equity and residual income approaches both give an equity value of $3,420,632 million, or $233.49 per share (worksheets H Flow to Equity, I Residual Income and K Valuation Summary).

7.1 Discounted Flow to Equity Approach

The Discounted Flow to Equity approach estimates the value of common shareholders' equity by discounting expected future cash flows available to equity holders at the required cost of equity. Unlike firm-level discounted cash flow valuation, which discounts cash flows available to both debt and equity investors, the FTE approach directly values shareholders' claims after accounting for changes in equity financing.

For this analysis, flow to equity is derived from forecast net income and the corresponding changes in common shareholders' equity. Assuming that the forecast statements follow clean-surplus accounting, the difference between

net income and the increase in book equity represents net distributions to shareholders, including dividends and share repurchases net of equity contributions.

In fiscal 2027, Apple is expected to generate net income of approximately $145.4 billion, while common stockholders' equity is expected to increase by approximately $18.9 billion. Accordingly, equity flows are expected to be approximately $126.5 billion. The same procedures apply for each year through FY2032. The resulting cash flows are discounted to the end of fiscal 2026 using a required cost of equity of 8%. The model assumes that sustainable flow to equity grows perpetually at 3% beginning in FY2033.

The estimated FY2033 sustainable flow to equity is approximately $212.91 billion, resulting in a terminal value of approximately $4.26 trillion at the end of FY2032. Discounting this amount back six years gives a present value of approximately $2.68 trillion. The total equity value is therefore obtained by adding the present value of forecast flow to equity and the discounted terminal value: 737,181.84 + 2,683,450.61 = 3,420,632.45 million. Using the forecast valuation share count of 14,650 million shares, the estimated intrinsic value per share is 3,420,632.45 / 14,650 = $233.49.

Therefore, the discounted flow to equity method yields an estimated intrinsic value of $233.49 per share. An important feature of this valuation is its reliance on long-term expectations: approximately 78.4% of the estimated equity value is attributed to terminal value. This suggests that even if the six-year operating forecast remains unchanged, changes in the assumed permanent growth rate or cost of equity could have a significant impact on valuation.

7.2 Residual Income to Common Equity Holders Approach

The residual income approach provides an alternative perspective, valuing Apple's common stock based on its current book value and future earnings in excess of shareholders' required return. Unlike the FTE model, which focuses on distributable cash flows, the RI model evaluates whether a company's forecast earnings are sufficient to compensate shareholders for the capital invested in the business.

Residual income is calculated by deducting equity expenses from forecast net income. The equity charge represents the required return on common stockholders' equity at the beginning of the period and is calculated using the 8% cost of equity specified in the project brief.

For fiscal 2027, we forecast net income of $145.365 billion, compared with opening common equity of $106.995 billion. The corresponding equity charge is approximately $8.56 billion and residual income is $136.805 billion. The same calculation is used throughout the forecast period, with each year's equity charge based on the prior year's ending common equity. As shown in Table 7.1, Apple's projected residual income has grown steadily from approximately $136.8 billion in fiscal 2027 to $197.3 billion in fiscal 2032, indicating that forecast earnings continue to exceed the required return on book equity to shareholders.

Table 7.1 FY2027-FY2032 Residual Income Forecast and Present Values ($ million)

Fiscal Year	NI	Equity charge (8%)	RI	PV of RI
2027	145,365	8,560	136,805	126,671
2028	159,223	10,068	149,155	127,877
2029	172,976	11,495	161,481	128,189
2030	186,642	12,861	173,782	127,735
2031	200,073	14,184	185,889	126,513
2032	212,775	15,457	197,318	124,344
Total PV				761,328

The valuation starts with Apple's forecast fiscal 2026 year-end common equity of $106.995 billion, to which the present value of future residual income is added. Discounting the six-year residual income forecast at 8% yields a total present value of approximately $761.33 billion. With the explicit forecast ending in fiscal year 2032, terminal residual income values are also estimated using the same 3% perpetual growth assumption employed in the FTE model. Normalized residual income for fiscal 2033 is approximately $202.51 billion, calculated by deducting required equity charges from forecast net income. The terminal value at FY2032 is therefore 202,509.68 / (0.08 - 0.03) = $4,050,193.6 million.

Discounting the terminal residual income value back to FY2026 gives approximately $2,552.31 billion. The total equity value is then calculated as: 106,995.18 + 761,328.29 + 2,552,308.98 = 3,420,632.45 million. Dividing the estimated total equity value by 14,650 million shares produces $233.49.

Accordingly, the Residual Income approach yields an intrinsic value of $233.49 per share, identical to the estimate obtained from the Discounted Flow to Equity approach. This agreement is consistent with the theoretical equivalence

of the two valuation methods when earnings, changes in book equity, shareholder distributions, and terminal assumptions are aligned.

8 Relative Valuation

Answer to Q8: After adjusting peer medians for Apple's historical premium, forward P/E implies $364.24 per share and EV/EBIT implies $336.59 per share (worksheet J Relative Valuation).

8.1 Selection of Guideline Companies

We selected Microsoft, Alphabet, Meta, Samsung Electronics and Sony Group as guideline companies. No single listed company fully replicates Apple's combination of premium hardware, proprietary software and digital services; therefore, the peer group captures different economically relevant aspects of Apple's business model.

Microsoft and Alphabet provide benchmarks for large-scale technology ecosystems and recurring digital services, Meta represents a highly profitable consumer technology platform, while Sony combines branded hardware with digital content and services.

Samsung Electronics is a strong operating comparable given its direct competition with Apple in smartphones and consumer electronics. However, its unusually low financial ratios reflect the significant contribution and cyclicality of its semiconductor business; therefore, we use the peer median rather than the mean to limit the influence of such outliers.

Using a diversified peer set therefore provides a more representative benchmark than relying solely on either hardware manufacturers or software companies.

8.2 Choice of Valuation Ratios

We use Forward P/E and EV/EBIT as the two principal relative valuation measures. Forward P/E is particularly suitable for Apple because the company has stable positive earnings and substantial share repurchases, making expected EPS a key metric for equity investors. At the same time, EV/EBIT provides a capital-structure-neutral measure of operating value. We prefer EV/EBIT to EV/EBITDA because depreciation and amortization are relatively modest for Apple, making EBIT a more directly observable and internally consistent measure.

P/S is less suitable because peer margins differ substantially, and P/B is distorted by Apple's extensive share repurchases and internally generated intangible assets.

Current peer multiples were sourced from Stock Analysis (n.d.-a, n.d.-b, n.d.-c, n.d.-d, n.d.-e) and recorded on 6 October 2026 (Singapore time).

8.3 Application of Historical Premium

Considering Apple’s high brand value, a direct application of the peer median may understate Apple's value because Apple has consistently traded at a premium to the selected peer group. We therefore calculated Apple's annual premium over the peer median for 2021-2025 (Table 8.1). Historical multiples are from Morningstar (n.d.-a, n.d.-b, n.d.-c, n.d.-d, n.d.-e, n.d.-f). The reconstructed historical benchmark uses Alphabet Class C (GOOG), whereas current multiples use Class A (GOOGL). Peer medians exclude unavailable observations, leaving four peers in 2023 because Samsung data are unavailable.

Table 8.1 Apple’s Historical Forward P/E Premium over Peers, 2021-2025

Year	Apple Forward P/E	Peer Median Forward P/E	Apple Premium
2021	31.60x	20.10x	57.2%
2022	21.28x	15.04x	41.5%
2023	29.19x	20.95x	39.3%
2024	33.66x	18.16x	85.4%
2025	32.79x	20.03x	63.7%
5-year premium			57.42%

The EV/EBIT premium of 41.90% is calculated in the same way from Apple's and the peers' 2021 to 2025 EV/EBIT multiples (worksheet J Relative Valuation, rows 13 to 19). Table 8.2 summarizes the adjusted valuation multiples and implied values after applying Apple's five-year average premiums.

Table 8.2 Relative Valuation Results

Valuation Method	Peer Median	Historical Premium	Adjusted Multiple	Implied Value ($/share)
Forward P/E	22.97x	57.42%	36.16x	364.24
EV/EBIT	21.91x	41.90%	31.09x	336.59

Forward P/E is applied to FY2027 forecast earnings because the peer multiples are forward-looking. In contrast, the reported peer EV/EBIT ratios are based on current enterprise values and trailing operating earnings; therefore, we apply the adjusted EV/EBIT multiple to Apple's FY2026 EBIT to maintain consistency in the valuation basis. The adjusted multiple of 31.09x applied to FY2026 EBIT of $156,935 million gives an enterprise value of $4,879,178 million; adding FY2026 net cash and marketable securities of $51,858 million and dividing by 14,650 million shares gives $336.59 per share.

Therefore, the two relative valuation approaches imply fair values of approximately $364.24 per share based on Forward P/E and $336.59 per share based on EV/EBIT.

9 Forecast Justification and Comparison with Market Valuation

Answer to Q9: Our FTE and RI value of $233.49 is 29.86% below the market price of $332.89. The key reason is the long run: the price implies perpetual growth of 4.76%, above both our 3% and the US economy's 4.40% long-run nominal growth.

9.1 Justification of Key Forecasting Assumptions

We anchor each driver on FY2023 to FY2025 actual results and the FY2026 base year (Q1 to Q3 actual results plus our Q4 forecast), then let growth fade toward the terminal rate; historical and forecast values for every driver are side by side in worksheet D IS Assumptions, rows 6 to 17.

Revenue. FY2026 revenue grows 14.74%, led by a 20.43% rise in iPhone sales, with Q4 inside management's 9% to 11% guidance. We do not extrapolate this cycle: Products growth slows to 7.08% in FY2027 and 3.66% by FY2032, because Products revenue fell by 5.7% in FY2023 and 1.1% in FY2024 after the FY2021 to FY2022 upgrade cycle. Services grew 9% to 14% a year in FY2023 to FY2025; we fade it from 12% to 7%, so Services rises from 26% to 31% of revenue.

Margins and costs. Services gross margin rose from 70.8% in FY2023 to 76.1% in FY2026; we hold it near 76% rather than extend the trend. Product margin is our most optimistic assumption: FY2026 is already 39.1%, above the FY2023 to FY2025 range of 36.5% to 37.2%, and we add a further 1.3 points by FY2032, while Morningstar expects memory costs to cut it by about 200 basis points in FY2027 (Kerwin, 2026a). Yet each percentage point of product gross margin is worth only about $4.64 per share (worksheet L, section 10), so margins cannot explain a $99.40 gap to the price. Cost, tax and share assumptions follow Section 6b.

Balance sheet and valuation inputs. Balance sheet items keep their FY2026 turnover or sales ratios, debt is repaid at 3% a year and buybacks absorb residual cash. Two simplifications matter: PP&E may need to exceed 10.77% of sales with AI spending, and growth drops from 4.67% in FY2032 to the 3% terminal rate in one step. The 8% cost of equity is given in the project brief and tested in Section 9.3.

External check. Our FY2026 revenue ($477.52 billion) and EPS ($8.87) match the LSEG consensus ($477.9 billion; $8.86). For FY2027 our revenue is 1.83% below consensus but our EPS is 4.66% above it, reflecting the margin assumption above (LSEG, 2026b; worksheet L, section 9).

9.2 Comparison with Current Market Valuation

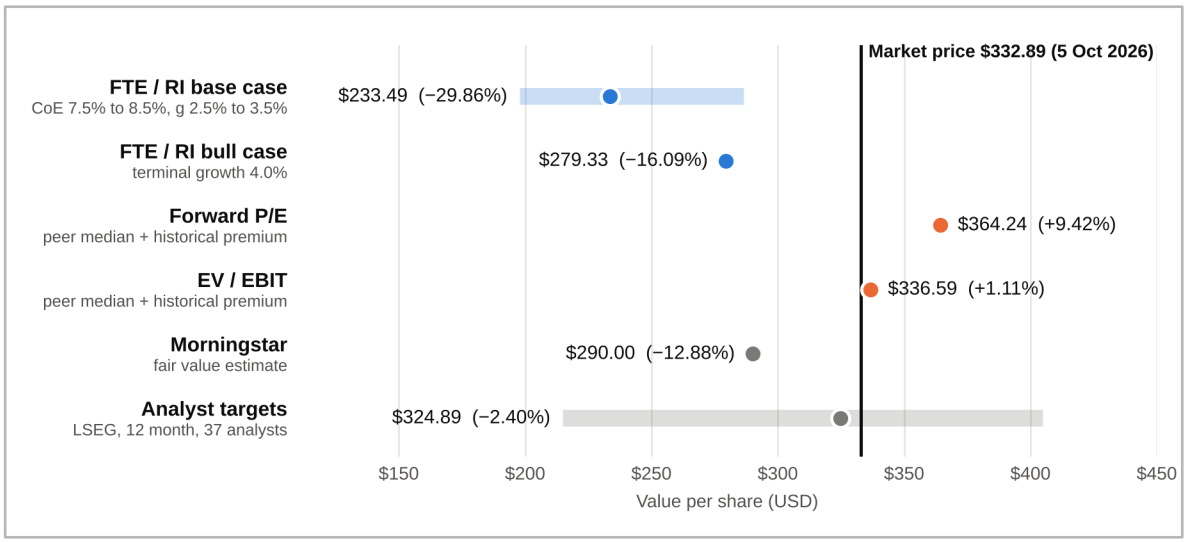


Figure 9.1 Valuation range versus market price (bars show ranges, dots point estimates). Sources: group model; LSEG (2026b); Kerwin (2026b); worksheets K and L, sections 2, 3 and 9.

At the 5 October 2026 close of $332.89 (Stock Analysis, n.d.-f), Apple's market value is about $4.88 trillion against our $3.42 trillion, and every intrinsic estimate in Figure 9.1 lies below the price: the base case by 29.86%, the most favorable sensitivity case ($286.61) by 13.90% and the 4% growth case ($279.33) by 16.09%. Only the two relative valuations, which include Apple's historical premium, reach the price.

9.3 Key Reasons for the Difference

With terminal value at 78.4% of equity value, the gap comes from assumptions beyond FY2032. Either lever alone can close it: terminal growth would need to rise by 1.76 percentage points, or the cost of equity fall by 1.45 percentage points (worksheet L, section 4).

Long-run growth. At an 8% cost of equity, the price requires 4.76% perpetual growth versus our 3%, above the 4.40% long-run nominal growth of the US economy: 2.0% real growth (Board of Governors of the Federal Reserve System, 2026a) plus 2.36% expected inflation from nominal and inflation-indexed Treasury yields (Board of Governors of the Federal Reserve System, 2026b, 2026c). The implied growth exceeds this US benchmark, although Apple’s global operations limit the comparison. Its forward P/E of 36.17x versus the 2021 to 2025 average of 29.70x is also consistent with optimistic expectations (worksheet L, sections 6 and 8).

Required return. At 3% growth, the price implies a 6.55% cost of equity, which is hard to justify on risk. A CAPM estimate using the 5.31% 10-year Treasury yield on 5 October 2026 (Board of Governors of the Federal Reserve System, 2026b), a five-year monthly beta of 1.07 (Yahoo Finance, n.d.) and an implied equity risk premium of 4.20% (Damodaran, 2026) gives 9.80%, at which our value would fall to $169.35; even the lowest October 2026 premium (3.70%) gives 9.27%. The given 8% is already generous, so the gap reflects growth expectations rather than lower risk (worksheet L, section 5).

Comparison with Morningstar. Morningstar's forecasts are close to ours (9% revenue growth a year to FY2030 against our 8.48%), yet its fair value of $290 is $56.51 above ours and still 12.88% below the price (Kerwin, 2026a, 2026b). Similar forecasts but different valuations suggest that the gap lies mainly in long-run inputs.

Relative valuation carries the market's premium. Our relative values exceed the market only because they include Apple's 2021 to 2025 average premium over peers (57.42% for P/E, 41.90% for EV/EBIT). Without it, they fall to $231.38 and $238.25, 30.49% and 28.43% below the price and close to our intrinsic value, so they mainly reflect how the market currently prices Apple (worksheet L, section 7).

Recommendation. We recommend HOLD. Apple looks overvalued on fundamentals, but the gap rests on long-run inputs that make up 78.4% of our value, our near-term forecasts are in line with consensus, and the mean analyst target ($324.89) is only 2.40% below the price. We therefore regard Apple as fully valued, with no clear catalyst to sell. We would turn more positive if the price fell toward $279, our value under 4% terminal growth, and more negative if Services growth slowed faster than our fade to 7% or product margins fell, since each lasting point of product margin is worth about $4.64 per share (worksheet L, section 10).

All worksheets referred to above are in the attached Excel file BMT5102_G9_Apple_Valuation.xlsx; worksheet L is L Market Comparison.

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